

seems filled with ragged price spikes of varying lengths. For this reason, you should be skeptical of investing in these two pipes.

The big indicator of pipe failure is because the pipes are not pipes at all. Price does not confirm either pipe (which happens when price closes above the highest high in the pattern). Thus, an astute trader would not trade these patterns.

Incidentally, before we leave [Figure 49.3](#), it is a good time to illustrate a somewhat common feature of pipes. Since pipes often appear at the end of a downward price trend, price sometimes rises, loops around, and retests the low. The pipe in early December 1991 is an example. Price bounces up, rounds over, and falls back on itself, forming a new low at 98.13. The retest of the original low completes in late March.

Pipe bottoms exhibit support at their lows. Rarely does price drop more than a half point or so below the pipe low before recovering and beginning an extended upward trend. The half point is not an absolute rule because it depends on the price of the stock (the one shown in the chart is a \$100 stock, and it drops \$1 below the prior low).

So even though you may buy into a stock above the top of the pipe and watch price fall, hold on. Use common sense, though. Sometimes you can lose a lot of money by holding on too long.

Statistics

[Table 49.2](#) shows general statistics.

Number found. I found a whopping 11,572 pipes in 1,279 stocks with the first one in July 1991 and the most recent in October 2018. Not all stocks covered the entire period, and some stocks no longer trade. I think I got fed up with searching for these things.

Reversal (R), continuation (C) occurrence. Pipe bottoms are, by definition, reversals of the downward price trend because price breaks out upward after the pattern. If price doesn't breakout upward, then it's not a pipe.